Taobao program update

24 Dec 2024

Taobao Fashion 2025 Targets

[Performance] We piloted the program in MY and SG, ADO has 267% increase, with 3.24% and 2.02% PC2 , 14 sellers' ADO has increased to >100 from Nov to Dec

Table: Counter-TB Fashion Performance in MY and SG

Data as of *2024-12-26*

Metric	Country	Total (Taobao Direct + SIP)			Taobao Direct			Taobao SIP	
		MTD	M-1	MoM (MTD)	MTD	M-1	MoM (MTD)	MTD	M-1
ADO	**Total**	**3,051**	**831**	**267%**	**2,982**	**831**	**259%**	**69**	**0**
	SG	399	85	368%	367	85	330%	32	0
	MY	2,651	746	255%	2,614	746	250%	37	0
ADG	**Total**	**$35,175**	**$7,771**	**353%**	**$34,757**	**$7,771**	**347%**	**$418**	**0**
	SG	$7,445	$858	768%	$7,212	$858	741%	$234	0
	MY	$27,730	$6,913	301%	$27,546	$6,913	298%	$184	0
ABS	**Total**	**$11.5**	**$9.3**	**23%**	**$11.7**	**$9.3**	**25%**	**$6.1**	**-**
	SG	$18.6	$10.0	86%	$19.6	$10.0	95%	$7.3	-
	MY	$10.5	$9.3	13%	$10.5	$9.3	14%	$5.0	-
Sellers	**Total**	**65**	**13**	**400%**	**35**	**13**	**169%**	**30**	**0**
	SG	61	12	408%	31	12	158%	30	0
	MY	63	11	473%	34	11	209%	29	0
Shops	**Total**	**336**	**49**	**586%**	**120**	**49**	**145%**	**216**	**0**
	SG	165	25	560%	53	25	112%	112	0
	MY	171	24	613%	67	24	179%	104	0
SKUs	**Total**	**95,899**	**24,869**	**286%**	**70,516**	**24,869**	**184%**	**25,383**	**0**
	SG	38,538	9,870	290%	23,007	9,870	133%	15,531	0
	MY	57,361	14,999	282%	47,509	14,999	217%	9,853	0
SKU efficiency	**Total**	**3.18%**	**3.34%**	**-5%**	**4.23%**	**3.34%**	**27%**	**0.27%**	**-**
	SG	1.04%	0.86%	20%	1.60%	0.86%	85%	0.21%	-
	MY	4.62%	4.97%	-7%	5.50%	4.97%	11%	0.38%	-
MP PC2 %	**Total**	**2.28%**	**0.37%**	**+1.90%**	**2.07%**	**0.37%**	**+1.70%**	**19.28%**	**0.00%**
	SG	3.24%	-1.13%	+4.37%	2.78%	-1.13%	+3.91%	17.30%	0.00%
	MY	2.02%	0.56%	+1.46%	1.89%	0.56%	+1.33%	21.79%	0.00%
MP PC2 (USD)	**Total**	**$801**	**$29**	**$772**	**$720**	**$29**	**$691**	**$81**	**$0**
	SG	$241	-$10	$251	$201	-$10	$210	$40	$0
	MY	$560	$39	$521	$520	$39	$481	$40	$0

Highlights

1. Seller / ADO growth
   - 65 sellers joined program in MY and SG with ADO growth from 0.8k to 3k in Dec
   - Among these sellers, 14 sellers achieved >100 ADO in Dec
2. P&L on track
   - PC2 for self run keeps at 3.24% for SG (+4.37pp vs Nov), 2.02% for MY (+1.46pp vs Nov)
   - PC2 for SIP is at 17.3% for SG, 21.8% for MY

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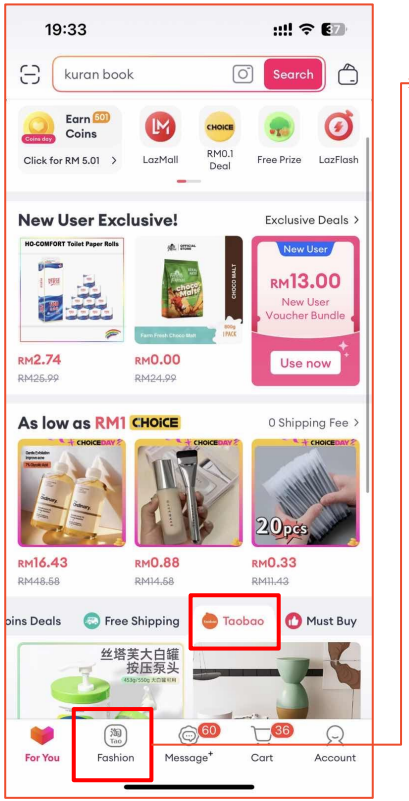
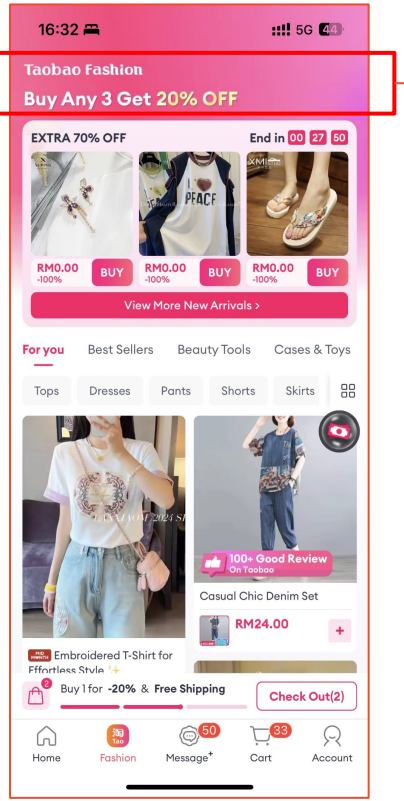
[Appendix] Lazada also started to push Taobao fashion in MY/SG:has a dedicated channel accessible from homepage with strong search & recommendation exposure, enhancing visibility and driving traffic

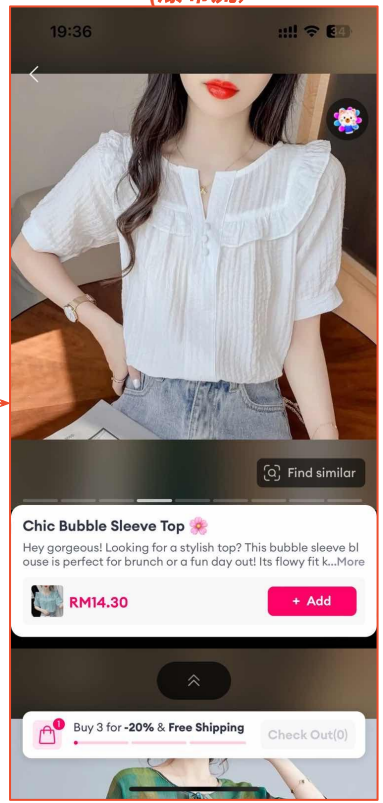
Entry page



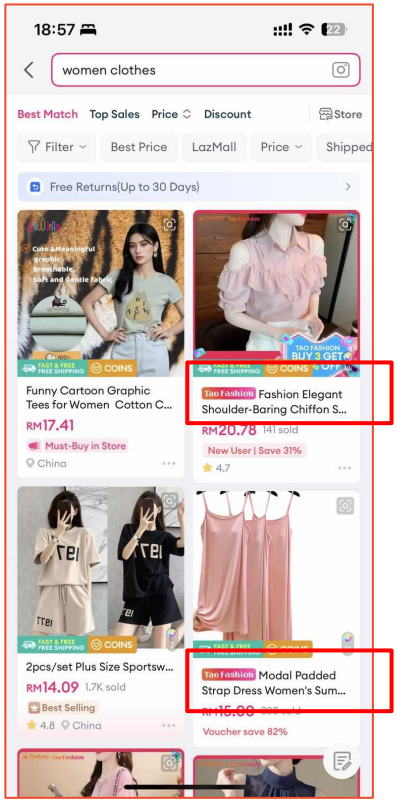
Dedicated channel



Recommendation (瀑布流)



Search



Notes: 1) MY App front-end observation, SG has similar display

[TB fashion 2025 target - Phase 1 in SG/MY] From Jan-25, we will scale up the counter TB program by 1) scale up in MY and SG 2) launch in all the other SEA markets

Key Metrics	SG							
	MTD	Target						
	Dec-24	Dec'24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25
Sellers	61	99	147	195	291	387	483	579
Skus (K)	39	76	111	153	156	159	162	165
ADO	399	613	834	1,173	1,404	1,651	1,942	2,095
ADG (USD, K)	7.4	11.7	15.3	20.8	24.6	28.7	33.7	36
SKU Effi	1.0%	0.8%	0.8%	0.8%	0.9%	1%	1.2%	1.3%
PC2	3.24%		0%	0%	0%	0%	0%	0%

	MY							
	MTD	Target						
	Dec-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25
Sellers	63	107	169	231	355	478	602	726
Skus (K)	57	83	117	157	160	164	167	171
ADO	2,651	2,892	3,065	3,200	3,996	4,919	6,004	7,274
ADG (USD, K)	27.7	30.7	31.8	31.9	39.4	48.4	59.2	71.9
SKU Effi	4.6%	3.5%	2.6%	2%	2.5%	3%	3.6%	4.3%
PC2	2.02%		0%	0%	0%	0%	0%	0%

Highlights

- Target to grow SKU count in SG/MY from 96k to 336k (+250%); and grow ADO in SG/MY from 3,050 to 9,369 (+207%)
  - Key growth levers including SKU crawling and matching with existing skus, and existing sellers' sourcing
  - Explore integrate with ERPs to mass onboard TB sellers from Q2
- Target to BE at PC2 to keep program healthy, meanwhile to boost topline

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[TB fashion 2025 target - Phase 2 in all SEA mkts] From Jan 25, we will scale up the counter TB program by 1) scale up in MY and SG 2) launch in all the other SEA markets

Markets	Seller Identification	Incentive Package	Pitching	Marketing Push	Targets	Jan'25	Feb'25	Mar'25
VN	Completed	Completed	In progress	To start [ETA: 7 Jan]	SKUs	103,793	117,793	166,791
					ADO	1,868	2,591	4,170
					SKU Effi	1.80%	2.20%	2.50%
TH	Completed	Completed	In progress	To start [ETA: 7 Jan]	SKUs	47,959	65,967	128,994
					ADO	719	1,121	2,580
					SKU Effi	1.50%	1.70%	2.00%
TW	Completed	Completed	In progress	To start [ETA: 7 Jan]	SKUs	13,730	19,221	38,438
					ADO	27	77	269
					SKU Effi	0.20%	0.40%	0.70%
PH	In progress [ETA: 6 Jan] PH prefer to use existing packages to manage TB program which we are checking the coverage of program		Depends on existing packages we will use to manage TB program, we will plan the push plan accordingly		TBD			

Highlights

1. TW ADO target is low due to
   - Low sku efficiency: TW CB compare with other markets' sku efficiency is low (1.2% for managed sellers in TW for reference)
   - TW TB program package is not strong, aligned with local team to revisit package design after first month performance
2. PH launch is delayed:
   - Local agreed to counter TB, however different with other markets, they prefer to use existing programs for both existing sellers (to upload more SKUs) and to pitch for new sellers to open shop in PH.
     - Existing programs not attractive to both existing and new sellers, to further align with Local
   - Local also confirmed having enough skus and sellers in existing program, we are reviewing the existing skus vs program to put in counter TB program

Taobao Furniture Plan

[Context] TB furniture has higher penetration than SHP; offers wider range of assortment, and supported by its 集运 services with higher weight/dimension coverage and competitive rates in SG

		SG		MY	
		Taobao	SHP	Taobao	SHP
Performance		$375K ADG 6.7% market penetration	$262K ADG 4.7% market penetration (CNCB 1.4%)	Pending data	Pending data
Assortment		Covers wide range	Covers mainly practical ones such as chairs, storage organisers, etc Lack high price range bulky SKUs, e.g., mattress, sofa, bed frame, wardrobe, dining set	Covers wide range	Covers a wide range of assortments Want to focus on strengthening assortment for lower price range SKUs due to market needs
Logistics service	Shipping model	TB直邮;TB集运	SHP SEA	TB直邮;TB集运	SHP SEA (standard); SHP SEA (bulky)
	Shipping rate	>30kg: TB集运cheapest (details on page 13)	<30kg: SHP SEA cheapest	-	<400g: SHP SEA (standard) cheapest 400g onwards: SHP SEA (bulky) competitive, however with limitations (detail on page 12)
	Weight/size limitations	TB直邮 30kg; 3 sides 1.8m TB集运 500kg; 3 sides 5m	100kg; 3 sides 6m; 1 side 3m	TB直邮 30kg; 3 sides 1.8m TB集运 500kg; 3 sides 5m	100kg; 3 sides 5.75m; 1 side 4m

[TB furniture plan] For phase 1, we will focus on (1) grow existing sellers/SKUs; close assortment gap via seller/SKU acquisition; (2) improve logistics services with competitive rate card

Furniture plan [Phase 1]	Initiative	Action plan	Target (Jun-25) (SG+MY)	PIC
Growing existing sellers/SKUs	Grow existing sellers/SKUs	Grow existing **26 universal TB furniture sellers** (281 shops and 76.4k SKUs in SG; 64 shops and 4.4K SKUs in MY) with local marketing resources	ADO uplift: 134 (from 671) ADG uplift:$8.3k (from $41.3k)	Tina (SGBD) Tzong Ming (MYBD)
1 **Close assortment gap**	Acquire new TB sellers/SKUs	(1) Maximize SKU listing of 26 existing TB sellers (2) Acquire 61 TB furniture sellers not on SHP SG/MY (3) Leverage existing top sellers to source additional ~1K Taobao SKUs from SG/MY wishlist	New SKUs: 40.8k ADO uplift 1,462 ADG uplift $53,760	Peggy (CN SMT)
2 **Improve logistics service**	Improve sea shipping rate card competitiveness	Reduce ASF by moving sellers to Bulky rate (MY)	Counter TB SKUs to be on Bulky rate card	Lake (CN SLS)
	Provide value-added services to improve UX	Launch integrated bulky channel to offer installation service in SG (vs no installation from TB)	SG integrated channel: Q2-25	Farah (SG Logs)

Deep-dive today

[Phase 2] Concurrently assess potential/feasibility for next phase:

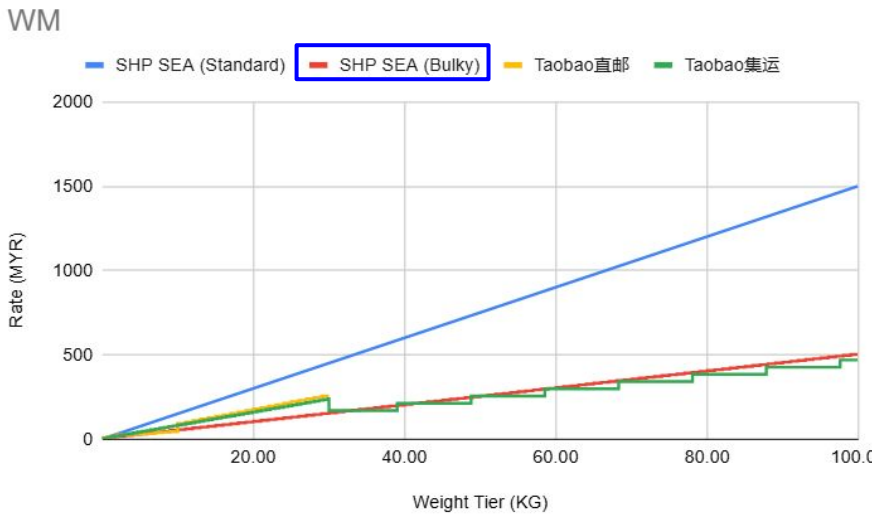
1. **Crawl TB SKUs**: 29k and 45k SKUs crawled for MY and SG respectively; Next steps to match crawled SKUs with SHP platform SKUs [ETA: Jan-25]
2. **Assess bulky channel set up TH/PH/VN/TW** for seashipping/landshipping scale up [assessment ETA: Jan-25]
3. **Push sellers with performing SKUs to do LFF (3PF)** [Proposal ETA: Jan-25]
4. **Explore cross-sell furniture SKUs from local 3PF WHs in some markets** (VN to TH as example), pending OPS and product enablement [ETA: Q1-25]

1 [Acquire new TB seller/SKUs] Plan to complete the first round of pitching before CNY, and complete re-pitching and assessment of new pitching pool by end Feb-25; target 40.8k SKUs and $54k ADG

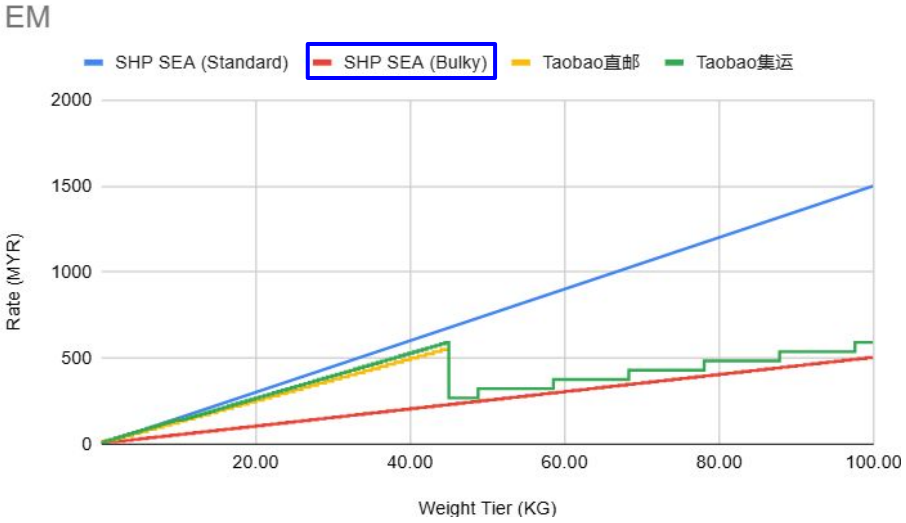
Action plan	Total pitching pool				Pitching plan	
	# GGPs (SG=MY)	# SKUs (SG)	# SKUs (MY)	Remarks	Progress	Next-steps and ETA
(1) Source ~1K TB SKUs via top furniture sellers on SHP SG/MY	-	1,000	75	SKU wishlist provided by SGBD/MYBD Leverage top CN furniture sellers on SG/MY to source	• **241 SKUs onboarded for SG**, MTD ADO 0.4 • Rest pending seller response	
(2) Migrate SKU listing to SG/MY for 26 TB sellers on SHP (but not on SG/MY)	26	8,366	80,316	Sellers chosen by SGBD/MYBD from the list of top GMV CNCB furniture sellers on SHP compiled by CN SMT SKUs currently listed in other markets (e.g. PH) but not yet in SG/MY	• Seller outreach done, pending seller response	[Before CNY] Complete first round of pitching for seller onboarding in Feb [By end-Feb] Complete repitching of key sellers for seller onboarding in Mar/Apr Complete planning for the next pitching pool
(3) Acquire 61 TB sellers not on SHP	61	22,000	22,550	Sellers chosen by SGBD/MYBD from the list of top TB furniture sellers not on SHP compiled by CN SMT (40 for SG and 41 for MY with overlaps)	• **3 sellers in SG and 1 seller in MY onboarded** (659 SKUs for SG and 43 SKUs for MY respectively), MTD ADO 12 and 11 for SG and MY respectively) • 3 sellers rejected due to exclusive distributorship in market, seller brand strategy, and seller preference for local fulfilment • 55 sellers pending response	
Total	87	31,366	102,941			

2 [Improve shipping rate card competitiveness] MY: SHP SEA Bulky rate card is competitive vs TB 集运 across all weight tiers

Graph: Rate card comparison for West Malaysia



Graph: Rate card comparison for East Malaysia



Key findings

- SHP Sea (Bulky) rate card is competitive vs TB 直邮/集运 across all weight tiers
- SHP Sea (Standard) rate card is more expensive than TB

2 [Improve shipping rate card competitiveness] MY: Key hurdle for Bulky rate card adoption is more expensive vs SHP standard < 400g. To push adoption with separate listing and product solution

Table: Rate card comparison for SHP standard vs Bulky in lower weight tier

Weight tier (KG)	Rate card - WM/EM（MYR）	
	SHP standard	SHP bulky
0.1	3	7.5
0.2	4.5	7.5
0.3	6	7.5
0.4	7.5	7.5
0.5	9	7.5
1	16.5	7.5
2	31.5	12.5
3	46.5	17.5

Key findings

- Key hurdle to use Bulky rate card is for SKUs<400g, using Bulky channel (vs standard) will mean (1) higher cost; (2) cannot choose air shipping
- Out of 64 existing shops from 26 sellers, **only 14 shops on Bulky rate card**, remaining 50 on standard rate card
- 40/50 shops have only bulky SKUs (>400g) listed from our scan; not on bulky rate card likely because they are not aware of it
  - Next step to provide seller education, move the shops to Bulky rate card, and push to lower the listing price [ETA: end Jan]
- 10/50 shops have a mix of non-bulky (<400g) and bulky SKUs (>400g)
  - Next step to help seller to whitelist the bulky SKUs to bulky rate card, while maintaining the non-bulky ones on standard rate card [ETA: end Jan]

2 [Improve shipping rate card competitiveness] SG: SHP is only competitive below 30kg. Not a key issue as SG focus on high price assortment. To reassess rate card with sea shipping vol ramps up

Graph: Rate card comparison for SG

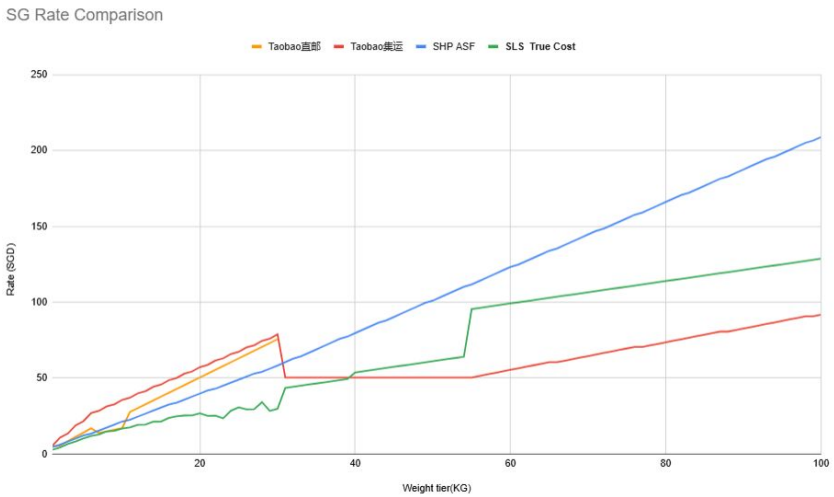


Table: Rate card comparison

Weight tier (KG)	SHP vs TB rate (SGD)			SHP true cost vs TB rate		
	SHP SEA	TB 直邮	TB 集运	SHP true cost	TB 直邮	TB 集运
1	a 4.6	4.9	5.4	2.8	4.9	5.4
5	12.2	14.0	21.6	10.2	14.0	21.6
10	21.4	17.1	35.6	16.7	17.1	35.6
15	30.6	37.8	45.7	21.4	37.8	45.7
20	39.8	50.4	57.2	26.8	50.4	57.2
25	49.0	63.0	67.3	30.8	63.0	67.3
30	58.2	75.6	78.8	29.8	75.6	78.8
35	68.9	-	50.4	46.5	-	50.4
40	79.6	-	50.4	53.8	-	b 50.4
50	101.0	-	50.4	61.1	-	50.4
100	208.8	-	91.7	128.6	-	91.7

Key findings (SG)

- a SHP SEA rate card for SG is cheaper than TB at 30kg and below
- b SHP is not competitive beyond 40kg even at true cost, mainly due to much smaller sea shipping vol compared to TB (including LZD and other Cainiao vol)
  - TB is FCL (full container load) rate; while SHP is LCL (less than container load) rate
  - Lower negotiation power with LM service provider (BEST) due to smaller vol
- Propose to reassess rate card in 3 months time after sea shipping vol ramps up